

INNOVIVA

NasdaqGS: INVA



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COMPANY OVERVIEW

Innoviva is a biopharmaceutical company with a mission to address unmet medical needs through respiratory drug royalties, critical care and infectious disease therapies, and strategic investments in anti-infective innovation

Key Value Drivers

Three-source Business Model

Compared with pure royalty peers and product-focused biotech peers, Innoviva has a diversified platform that earns from royalties, specialty therapeutics sales, and healthcare investments, giving it steadier cash flow and broader growth upside.

High Scalability

Innoviva’s existing critical care and infectious disease platform allows it to add synergistic products with lower incremental costs. New Technology Add-on Payment (NTAP) reimbursement for ZEVTERA enhance hospital adoption and future growth.

High Gross Margin (>75%)

Innoviva’s commercial-ready specialty therapeutics portfolio helps keep COGS low. Products are approved and marketable. Therefore Innoviva can generate sales without heavy pre-commercialization or early-stage development costs.

Income Sources

Royalty Assets



**ANORO
ELLIPTA**



**RELVA/BREO
ELLIPTA**

Innoviva Specialty Theurapeutics

GIAPREZA[®]
(angiotensin II)
injection for intravenous infusion

XACDURO[®]
(sulbactam for injection;
durlobactam for injection),
co-packaged for intravenous use

Zevtera[™]
Ceftobiprole medocartil

XERAVA[™]
(eravacycline) for injection

NUZOLVENCE[®]
(zoliflodacin)

Healthcare Assets

**ARMATA
PHARMACEUTICALS**

**syndeio
biosciences**

LTM Financials (March 31, 2026)

Revenue: \$420.7M

Gross profit: \$311.7M

Net Income: \$504.3M

EBITDA: \$192.7M

INDUSTRY OVERVIEW

Porter's Five Forces

Threat of New Entrants **LOW**

Needs years of testing, regulatory approval, large upfront investment, and strict storage standards before generating revenue, making failure costly and entry difficult. Patents also make it harder to enter the market.

Threat of Substitutes **MODERATE**

Patents protect approved therapies for a limited time, but generics or biosimilars can enter after exclusivity expires. However, some specialized diseases still have few effective treatment options.

Buyers' Bargaining Power **MODERATE**

Individual patients have limited bargaining power due to medical need and fewer substitutes. However, large buyers (insurers, PBMs, and hospital networks) can negotiate prices.

Suppliers' Bargaining Power **MODERATE**

Switching suppliers is costly when products must meet strict quality, safety, and regulatory standards. Firms are more dependent on approved and reliable suppliers, even though production inputs are easily obtainable

Competitive Rivalry **HIGH**

After patent protection ends, generic or biosimilar firms can enter with similar therapies at lower prices. Low product differentiation forces companies to compete on price, access, and continuous innovation.

Recent Trends

Patents Cliff

Branded drugs with over \$300B in cumulative revenue are facing patent expiry between 2025 & 2030. Companies are pursuing mergers and acquisitions to reduce risk of patent expiration.

AI-Driven R&D Efficiency

AI is becoming a major driver by reducing drug discovery timelines and pre-clinical costs by an estimated 25% to 50 (World Economic Forum).

Growing Infectious Disease Market

Infectious disease is projected to be in top 20 global therapy area, with spending expected to reach about \$80B by 2029, driven by antimicrobial resistance and continued demand for effective hospital-treated infection therapies.

Competitive Landscape

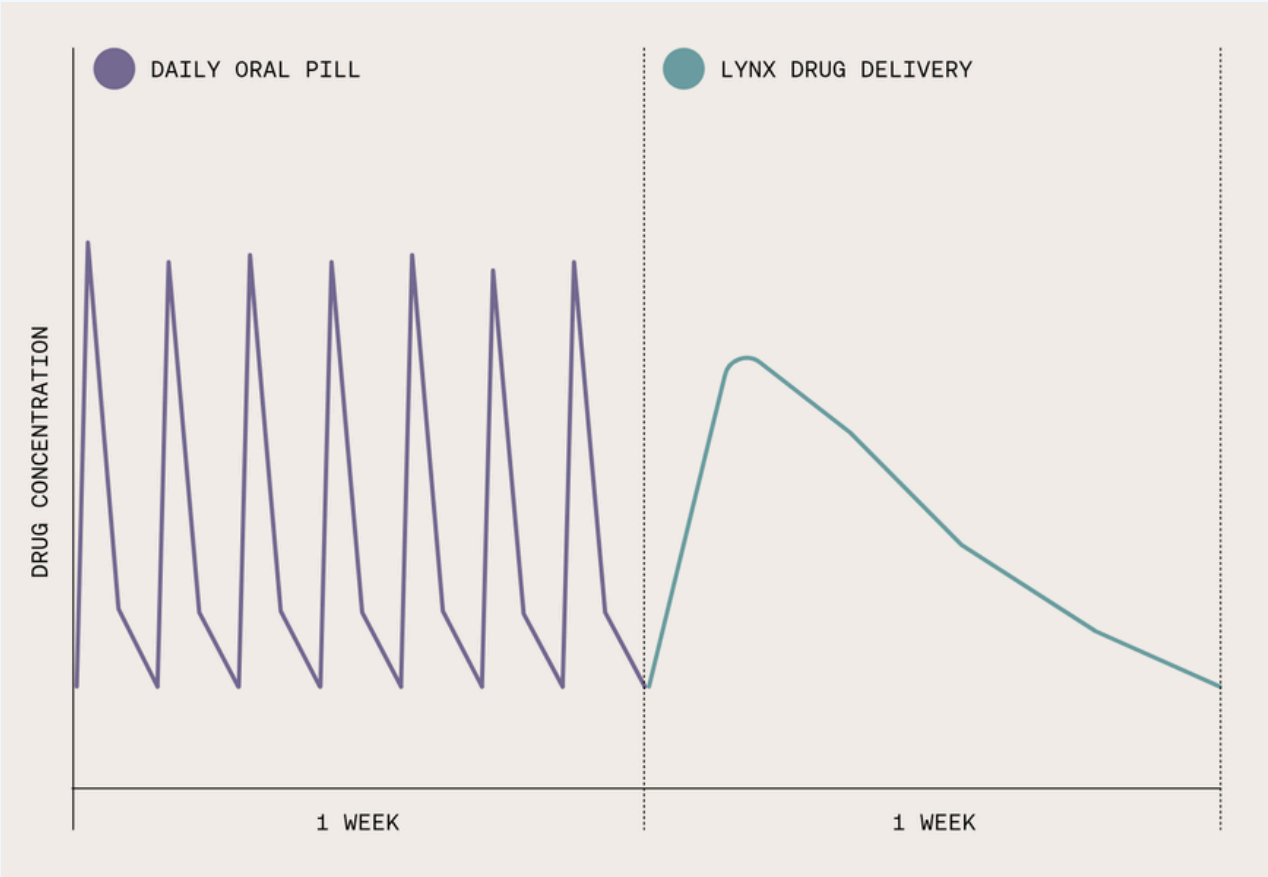


THESIS 1: LAUNCH OF NORTIVA BIO & LYNX PLATFORM

In June 2026, Innoviva launched Nortiva Bio to develop long-acting oral therapies through LYNX drug delivery platform.

LYNX drug delivery platform

Oral drug delivery platform, transforming daily pills into once-weekly or monthly oral therapies



270+

individuals dosed across multiple therapeutic areas and drug classes

~600

total administrations in humans

1300+

total administrations in animal trials

Clinical proof of concept in multiple therapeutic areas & a successful Phase 3 study

Large unmet need

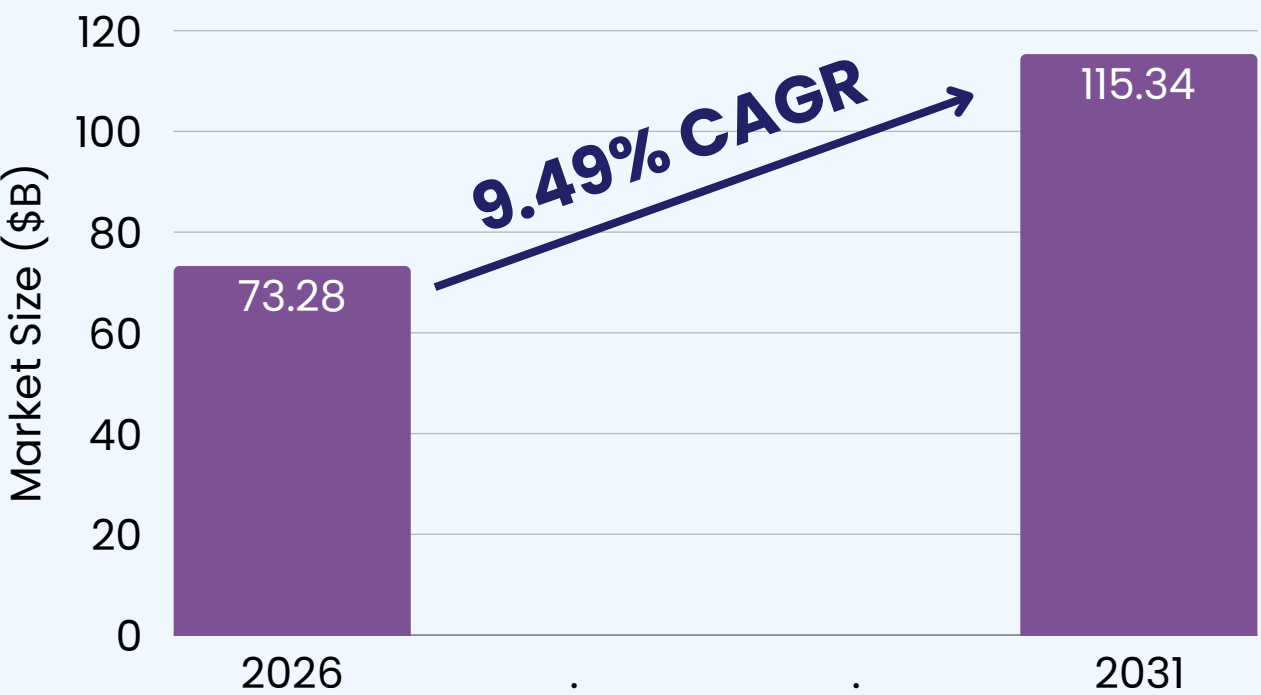
125,000

deaths in the U.S annually due to failure to adhere to medication regimens

\$290 BILLION

annual cost of medication non-adherence in the U.S

Long-acting pills can reduce non-adherence rate by reducing the frequency of taking medicines



The graph shows forecasted growth of controlled release drug delivery market by 2031. This market size is projected to reach \$115.34B in 2031.

High growth potential

- **Partnership Opportunities:** LYNX attracts other pharmaceutical company to partner with Innoviva to develop their long-acting oral versions of approved therapies, as LYNX has been proven to be effective in multiple therapeutic areas.
- **Multiple Revenue Streams:** Upfront licensing fees, milestone payments, and co-development funding from these partner companies will be another source of revenue. This makes Innoviva more sustainable & well-positioned in the upcoming wave of patents loss that may affect its earnings from current marketed drugs.

THESIS 2: GLOBAL EXPANSION

XACDURO enters international markets



First and only FDA-approved antibiotic for adult with HABP/VABP caused by susceptible isolates of *Acinetobacter baumannii*-calcoaceticus complex (*Acinetobacter*)

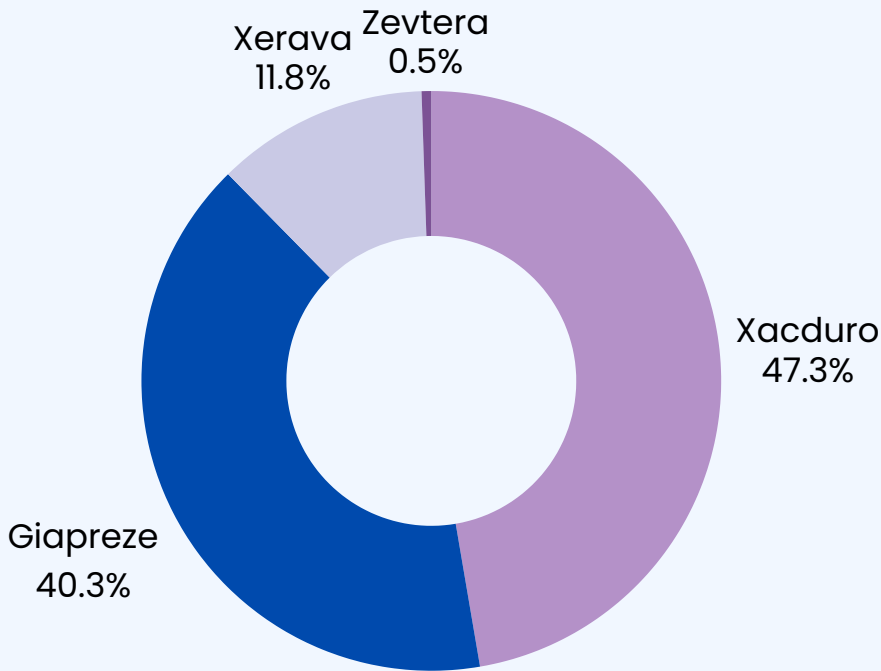
Innoviva’s distribution and licensing agreement with Dr. Reddy’s for XACDURO® in international markets

This agreement expands Innoviva’s reach to markets with high prevalence of CRAB (a type of *Acinetobacter*)

South & Central America	The Caribbean
Russia	CIS countries

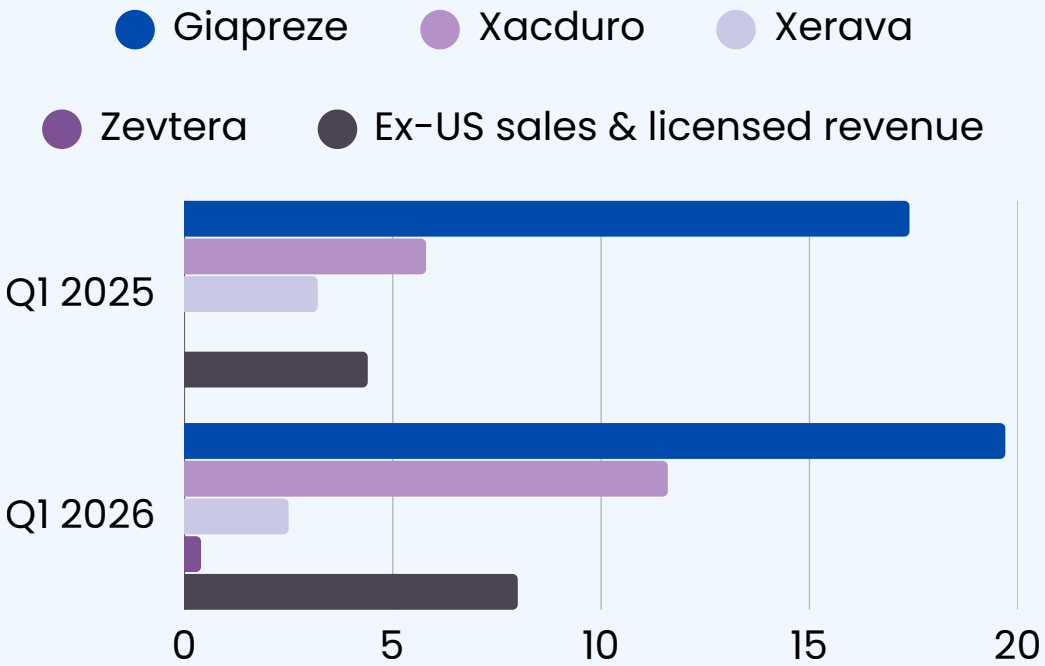
- Low-cost expansion: Dr. Reddy’s handles development, regulatory and commercialization activities.
- Promising growth rate in ex-US sales: XACDURO outstands current alternative (colistin), with lower mortality rate
- Large unmet need: CRAB is categorized as as a “Priority 1: Critical” pathogen by the WHO and causes over 50 000 deaths each year. With CRAB resistance rate over 70%, these targeted regions are potential markets for XACDURO.

Distribution of sales revenue & growth rate



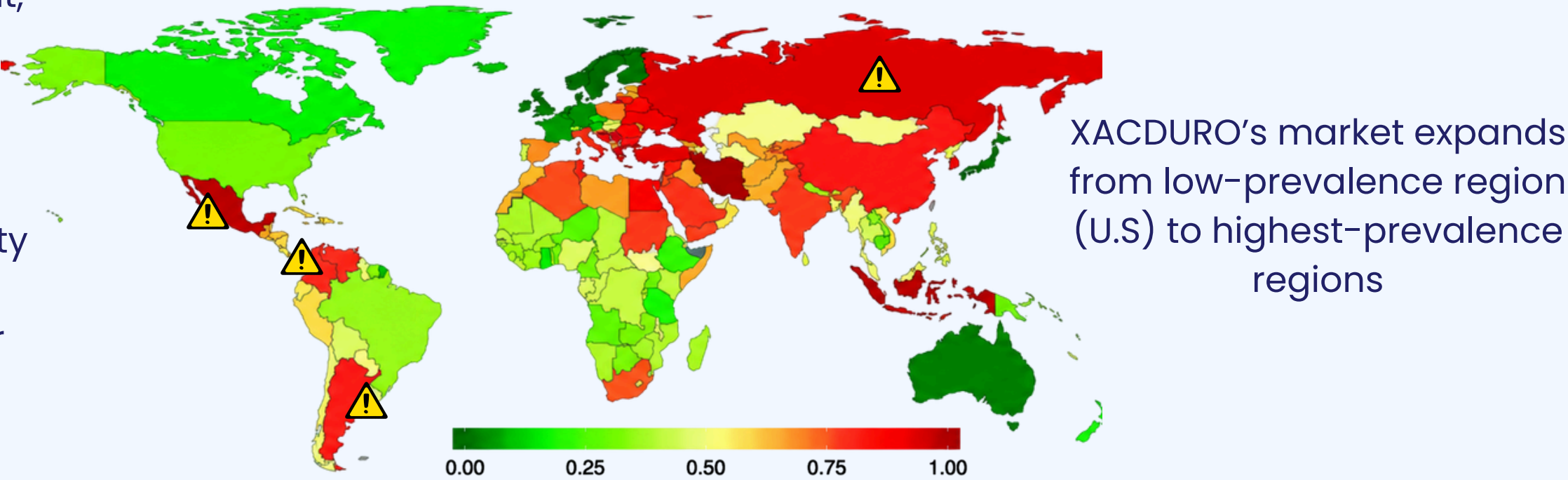
LTM net sales & license revenue

- XACDURO accounts for nearly 50% of net sales and license revenue. Ex-US sales & licensed & XACDURO revenue has the fastest growth, 82% and 99% respectively.
- XACDURO’s market expansion will be a revenue booster, continuing to drive growth in Ex-US sales with even faster speed than current.



LTM net product sales

CRAB Prevalence map



THESIS 3: DIVERSIFIED HEALTHCARE ASSETS PORTFOLIO

Current assets portfolio

Innoviva’s diversified healthcare portfolio gives the company exposure to multiple areas (antibiotic resistance, neurodiagnostics, immunotherapy, synapse-targeted CNS therapy).

ARMATA PHARMACEUTICALS

- Focuses on the development of targeted bacteriophage therapeutics for antibiotic-resistant infections
- Product: AP-SA02 (for Staphylococcus aureus bacteremia) & AP-PA03 (for Pseudomonas aeruginosa)

BEACON BIOSIGNALS

- Uses AI-driven electroencephalogram (EEG) data to help diagnose and study neurological and psychiatric conditions
- Product: FDA-cleared EEG headband and clinical-trial support tools

IMAGINAB

- Develops radiopharmaceutical imaging tech, assisting in visualizing immune activity
- Product: ImmunoPET Imaging (Uses in vivo CD8 T-cell imaging to visualize treatment effects)

SYNDEIO

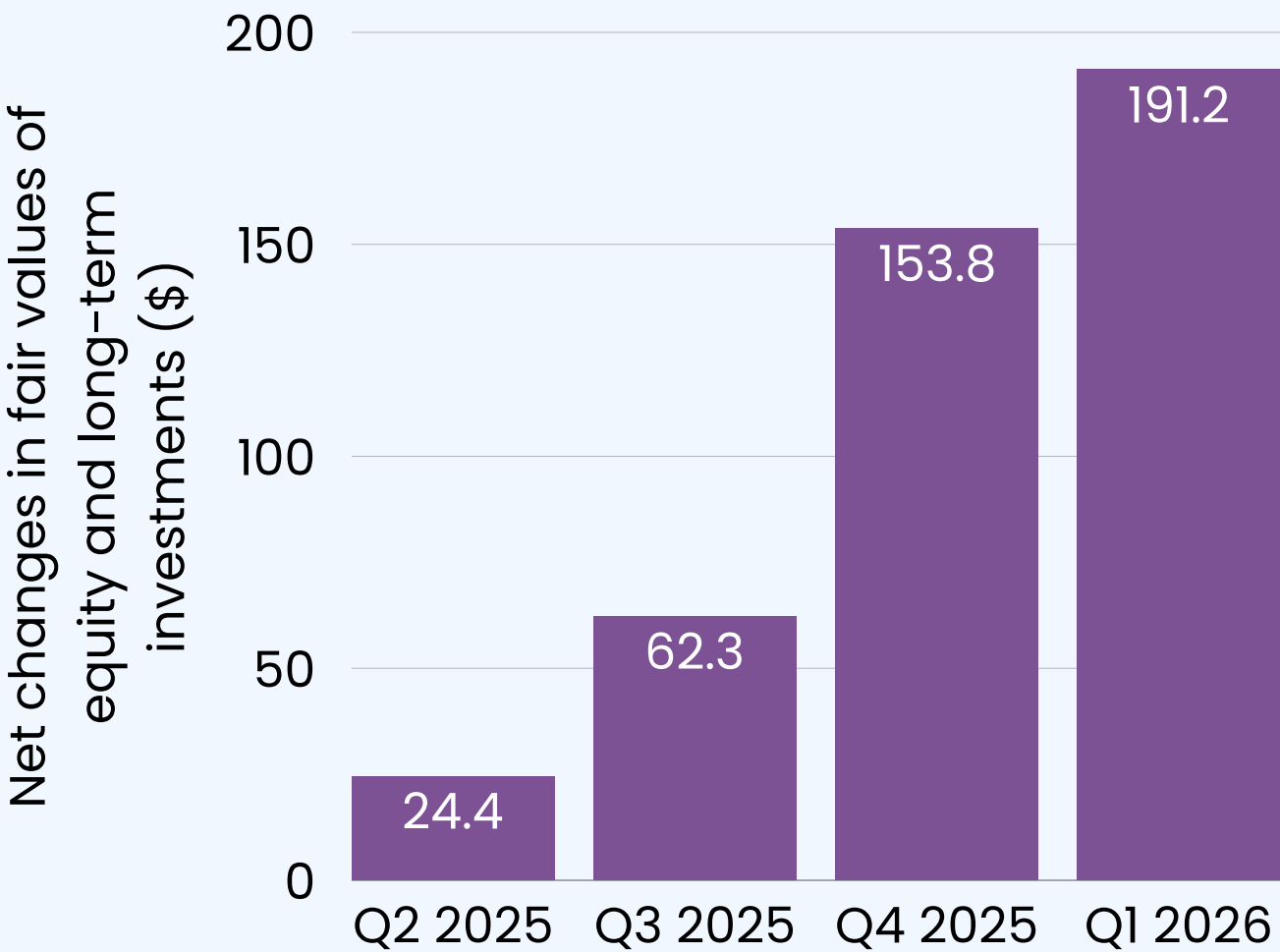
- Develops synapse-targeted neuroscience therapies, improving communication between neurons and treat CNS disorders (depression, Alzheimer’s disease, schizophrenia, and cognitive disorders).

Benefits

- **Revenue protection:** These assets are growing in value. They generate an additional revenue stream beside selling pharmaceutical products, reducing Innoviva susceptibility in the upcoming threat of patents loss
- **Reducing reliance on single asset:** By investing in different sectors within healthcare, Innoviva can avoid binary risk.

Growing assets value

LTM net changes in fair values of equity & investment



Over LTM, fair values of Innoviva’s equity & long-term investment has increased by 684%. By March 31/2026, Innoviva’s current equity & long-term investment is valued \$773M.

**New-Technology
Add-On Payment
(NTAP)**

NTAP accelerates adoption of IST’s hospital antibiotics by reducing hospitals’ cost burden for eligible inpatient cases. XACDURO has maximum NTAP support of \$13,680. ZEVTERA has maximum NTAP support of \$16,215 for SAB and \$5,287.50 for ABSSSI/CABP, supporting formulary access and launch uptake.

**Armata's planned
Phase III start for
AP-SA02 in Q2/2026**

Armata plans to advance AP-SA02 into a Phase III study for complicated S. aureus bacteremia in 2H 2026. Because AP-SA02 has received FDA Fast Track designation and QIDP designation, trial progress could increase the value of Innoviva’s Armata investment and strengthen its infectious disease exposure.

**NUZOLVENCE Launch
in 2H 2026**

NUZOLVENCE, FDA-approved in Dec. 2025 and planned for U.S. launch in 2H 2026, could expand IST beyond hospital antibiotics into outpatient infectious disease and add a new revenue stream in gonorrhea, a large market with over 82M global cases annually.

RISK & MITIGANTS

Risks	Mitigants
Pricing pressure due to ricing negotiation and Trump’s Most-Favored-Nation (MFN) policy	Innoviva has multiple offsets: IST net product sales grew 77% YoY to \$172.1M in 2025, management expects \$150M+ of 2026 U.S. IST sales, and the company holds \$603.1M of cash plus \$773.3M of strategic healthcare investments. Innoviva recently acquired LYNX platform, which has strong growth potential and is not affected by drug pricing pressure.
Upcoming wave of patent (2025 – 2030) loss and generic competition	The risk is partly reduced by Innoviva’s staggered product lifecycle. Newer IST assets extend the commercial runway, including XACDURO with estimated generic entry around 2033 and ZEVTERA with exclusivity through 2034. NUZOLVENCE, approved in 2025 and planned for launch in 2026, also adds another newer product to help offset older-product erosion.
Commercial adoption risk for IST products	NTAP support reduces hospital adoption barriers for IST’s newer inpatient antibiotics by providing additional Medicare reimbursement on top of standard inpatient payments. This supports formulary access and early launch uptake for IST’s hospital-focused products.

VALUATION | METHODOLOGIES & ASSUMPTIONS

Methodologies & assumptions

- My DCF valuation was built using a three-year forecast period, with terminal value estimated through three approaches: perpetuity growth, EV/EBIT exit multiple, and P/E exit multiple. Then I assigned probability weights to each approach:
 - **Perpetuity growth:** Innoviva has established commercial revenue, royalty streams, and recurring operating cash flow. This method is based on the assumption that Innoviva can continue generating cash flow beyond the forecast period at a sustainable rate.
 - **EV/EBIT multiple:** Innoviva has a substantial net cash and investment portfolio that could distort equity-based valuation. This multiple values the operating business independently of excess cash and financing decisions.
 - **P/E multiple:** Innoviva has positive net income and a mature earnings profile.

Recommendation

- **Recommended weight:** 8% target / 10% max. With \$15.5K live capital, this equals about \$1.2K target position and \$1.55K max position.
- **Entry range:** \$21.50–\$23.50. This range is close to the pitched price and keeps upside attractive relative to the \$33.98 target price.
- **Position strategy:** Start with a 6%–8% position, then add toward 10% max on pullbacks or stronger catalyst confirmation from NTAP-supported uptake, NUZOLVENCE launch progress, or Armata Phase III progress.

Valuation summary

Pitched Price: \$22.49

Approach	Implied price	Implied upside	Probability
Perpetuity Growth Approach	\$51.10	127.20%	20.00%
EV / EBIT Multiple Approach	\$25.61	13.90%	30.00%
P / E Multiple Approach	\$32.15	43%	50.00%

Targeted Price: \$33.98

Upside: 51.09%

VALUATION | SENSITIVITY ANALYSIS

	WACC					
P / E Multiple	\$32.15	6.50%	6.75%	7.00%	7.25%	7.50%
	10.8x	\$25.49	\$25.32	\$25.16	\$25.00	\$24.84
	12.8x	\$29.03	\$28.84	\$28.66	\$28.47	\$28.29
	14.8x	\$32.57	\$32.36	\$32.15	\$31.94	\$31.74
	16.8x	\$36.12	\$35.88	\$35.65	\$35.41	\$35.18
	18.8x	\$39.66	\$39.40	\$39.14	\$38.88	\$38.63
	WACC					
Growth Rate	\$51.10	6.50%	6.75%	7.00%	7.25%	7.50%
	2.00%	\$51.54	\$49.02	\$46.74	\$44.69	\$42.82
	2.25%	\$54.12	\$51.32	\$48.81	\$46.55	\$44.50
	2.50%	\$57.03	\$53.89	\$51.10	\$48.60	\$46.35
	2.75%	\$60.33	\$56.78	\$53.66	\$50.88	\$48.39
	3.00%	\$64.09	\$60.07	\$56.54	\$53.43	\$50.66
		WACC				
EV / EBIT Multiple	\$25.61	6.50%	6.75%	7.00%	7.25%	7.50%
	7.0x	\$24.21	\$24.08	\$23.95	\$23.82	\$23.69
	7.4x	\$25.06	\$24.92	\$24.78	\$24.65	\$24.51
	7.8x	\$25.90	\$25.76	\$25.61	\$25.47	\$25.33
	8.2x	\$26.74	\$26.59	\$26.44	\$26.30	\$26.15
	8.6x	\$27.59	\$27.43	\$27.28	\$27.12	\$26.97

APPENDIX | DISCOUNTED CASH FLOW

<i>in mn</i>	2025A	2026E	2027E	2028E
Sales (net)	411.3	448.3	488.7	532.7
Cost of Goods Sold	-103.1	-93.2	-111.4	-140.6
Gross Profit	308.2	355.1	377.3	392.1
SG&A Expense	-113.4	-102.5	-122.5	-154.6
EBITDA	195	252.6	254.8	237.5
D&A	-26.4	-58.3	-40.4	-7.6
EBIT	168.6	194.3	214.4	230
Taxes on EBIT		-23.3	-25.7	-27.6
NOPAT		171	188.7	202.4
(+) D&A		58.3	40.4	7.6
(-) Incr. in NWC		-4.4	-4.8	-5.3
(-) CapEx		-1.8	-2	-2.1
Unlevered Free Cash Flow		223.1	222.3	202.5

Key Assumptions	
Discount Rate	7.00%
Terminal Growth Rate (g)	2.50%
Normalized Tax Rate	12.00%
CapEx (% of Revenue)	0.40%
Incr. in NWC (% of ΔRevenue)	12.00%
EV / EBIT Exit Multiple	7.8x
P / E Exit Multiple	14.8x

APPENDIX | DISCOUNTED CASH FLOW

Perpetuity Growth Approach		EV / EBIT Multiple Approach		P/E Multiple Approach	
PV of Forecast Period FCF	567.9	PV of Forecast Period FCF	567.9	PV of Forecast Period FCF	567.9
Terminal Year Unlevered FCF	202.5	Terminal Year EBIT (2028E)	230	Terminal Year Net Income (2028E)	193.3
Perpetuity Growth Rate	2.50%	EV / EBIT Exit Multiple	7.8x	P / E Exit Multiple	14.8x
Terminal Value	4,612.80	Terminal Value	1,793.80	Terminal Equity Value	2,860.70
PV of Terminal Value	3,765.50	PV of Terminal Value	1,464.20	PV of Terminal Equity Value	2,335.20
Enterprise Value	4,333.40	Enterprise Value	2,032.20	Total Equity Value	2,903.10
(-) Net Debt / (+) Net Cash	280.5	(-) Net Debt / (+) Net Cash	280.5	Diluted Shares Out. (mn)	90.3
Equity Value	4,613.90	Equity Value	2,312.70	Value Per Share	\$32.15
Diluted Shares Out. (mn)	90.3	Diluted Shares Out. (mn)	90.3	Implied Upside / (Downside)	43.00%
Value Per Share	\$51.10	Value Per Share	\$25.61		
Implied Upside / (Downside)	127.20%	Implied Upside / (Downside)	13.90%		

APPENDIX | REVENUE BUILD

	1Q23A	2Q23A	3Q23A	4Q23A	FY2023A	1Q24A	2Q24A	3Q24A	4Q24A	FY2024A
Royalty revenue, net (GSK)	\$56,858	\$62,265	\$53,558	\$66,140	\$238,821	\$58,477	\$63,484	\$57,056	\$62,350	\$241,367
Net product sales	\$11,514	\$15,727	\$13,701	\$19,700	\$60,642	\$19,100	\$21,700	\$27,822	\$28,900	\$97,522
License and other revenue	\$8,000	\$3,000	-	-	\$11,000	-\$75	\$14,716	\$4,630	\$550	\$19,821
Total revenue	\$76,372	\$80,992	\$67,259	\$85,840	\$310,463	\$77,502	\$99,900	\$89,508	\$91,800	\$358,710

	1Q25A	2Q25A	3Q25A	4Q25A	FY2025A	1Q26A	2Q26E	3Q26E	4Q26E	FY2026E
Royalty revenue, net (GSK)	\$57,910	\$63,578	\$59,896	\$55,163	\$236,547	\$55,167	\$61,035	\$57,500	\$52,956	\$226,658
Net product sales	\$30,279	\$35,500	\$47,294	\$58,737	\$171,810	\$41,371	\$46,827	\$58,539	\$70,466	\$217,203
License and other revenue	\$443	\$1,190	\$610	\$700	\$2,943	\$1,456	\$1,000	\$1,000	\$1,000	\$4,456
Total revenue	\$88,632	\$100,268	\$107,800	\$114,600	\$411,300	\$97,994	\$108,862	\$117,039	\$124,422	\$448,317

APPENDIX | COST BUILD

	1Q23A	2Q23A	3Q23A	4Q23A	FY2023A	1Q24A	2Q24A	3Q24A	4Q24A	FY2024A
Total revenue	76,372	80,992	67,259	85,840	310,463	77,502	99,900	89,508	91,800	358,710
COGS / Revenue	13.60%	11.10%	15.10%	15.30%	13.70%	14.20%	8.50%	11.20%	7.80%	10.20%
Cost of Products Sold & License	(10,349)	(8,979)	(10,182)	(13,130)	(42,640)	(10,971)	(8,472)	(9,990)	(7,131)	(36,564)
SG&A / Revenue	25.80%	29.10%	42.60%	30.70%	31.60%	39.20%	27.80%	29.30%	34.10%	32.30%
SG&A Expense	(19,735)	(23,542)	(28,636)	(26,319)	(98,232)	(30,405)	(27,740)	(26,219)	(31,326)	(115,690)
R&D + Amortization of Intangibles	(16,393)	(19,947)	(10,500)	(8,866)	(55,706)	(10,318)	(9,000)	(10,062)	(10,176)	(39,556)
Income from Operations	29,895	28,524	17,941	37,525	113,885	25,808	54,688	43,237	43,167	166,900

APPENDIX | COST BUILD

	1Q25A	2Q25A	3Q25A	4Q25A	FY2025A	1Q26E	2Q26E	3Q26E	4Q26E	FY2026E
Total revenue	88,632	100,268	107,800	114,600	411,300	97,994	108,862	117,039	124,422	448,317
COGS / Revenue	10.00%	17.00%	21.00%	24.60%	18.60%	17.70%	17.60%	20.50%	23.20%	19.90%
Cost of Products Sold & License	(8,842)	(17,033)	(22,665)	(28,163)	(76,703)	(17,340)	(19,199)	(24,001)	(28,891)	(89,431)
SG&A / Revenue	31.00%	27.90%	26.40%	25.60%	27.60%	31.60%	28.50%	26.50%	24.90%	27.70%
SG&A Expense	(27,491)	(28,000)	(28,500)	(29,327)	(113,318)	(31,000)	(31,000)	(31,000)	(31,000)	(124,000)
R&D + Amortization of Intangibles	(10,871)	(11,500)	(20,900)	(13,308)	(56,579)	(11,500)	(12,000)	(12,000)	(12,000)	(47,500)
Income from Operations	41,428	43,735	35,735	43,802	164,700	38,154	46,663	50,038	52,531	187,386

APPENDIX | COMPARABLE ANALYSIS

Company Name	TEV/Total Revenues LTM	TEV/EBIT DA LTM	TEV/EBIT LTM	LTM Gross Margin %	LTM EBITDA Margin %	LTM EBIT Margin %	LTM Net Income Margin %
Merck & Co., Inc. (NYSE:MRK)	5.5x	12.1x	14.8x	76.70%	44.90%	37.30%	13.59%
ANI Pharmaceuticals, Inc. (NasdaqGM:ANIP)	2.3x	10.6x	19.7x	60.80%	21.40%	11.70%	9.98%
Amphastar Pharmaceuticals, Inc. (NasdaqGS:AMPH)	1.7x	6.0x	9.0x	47.30%	27.40%	19.40%	11.00%
CorMedix Inc. (NasdaqGM:CRMD)	1.6x	2.9x	3.2x	91.90%	57.20%	51.00%	45.25%
Innoviva, Inc. (NasdaqGS:INVA)	3.2x	7.0x	8.2x	74.10%	45.80%	39.50%	119.88%